

Undertaking to the Australian Competition and Consumer Commission

Public version

**Given under section 87B by
OneSteel Limited**

Allens Arthur Robinson
Stock Exchange Centre
530 Collins Street
Melbourne VIC 3000
Tel 61 3 9614 1011
Fax 61 3 9614 4661
www.aar.com.au

1. Background

- 1.1 OneSteel and Smorgon each operate as steel manufacturers and distributors in Australia. The directors of OneSteel and Smorgon have agreed to propose a scheme of arrangement which if approved, will result in OneSteel acquiring all of the shares in Smorgon.
- 1.2 OneSteel has informed the Commission that it intends to divest Smorgon Distribution by way of demerger and OneSteel has offered to the Commission the section 87B Undertakings set out in this document in order to make provision for the divestment of Smorgon Distribution.

2. Commencement and Duration of Undertakings

- 2.1 Clauses 1, 2, 3, 4.1, 6, 7, 8, 9, 10, 11 and 12 of this Undertaking come into effect when:
 - (a) the Undertaking is executed by OneSteel; and
 - (b) the Commission accepts the Undertaking so executed by OneSteel.
- 2.2 Clauses 4 (except clause 4.1) and 5 of this Undertaking come into effect on the Implementation Date.
- 2.3 This Undertaking will cease to have effect when the time period specified in clause 5.1 has expired or on the date of any announcement to the Australian Stock Exchange by OneSteel that it no longer intends to proceed with the schemes of arrangement to acquire all of the shares in Smorgon.

3. Undertaking to divest Smorgon Distribution

- 3.1 Subject to clauses 3.5 and 3.6, OneSteel undertakes to the Commission that it will cease to have any ownership or control over Smorgon Distribution by the end of the Divestiture Period, following the demerger of Smorgon Distribution by way of scheme of arrangement.
- 3.2 Prior to the Implementation Date OneSteel must provide to the Commission :
 - (a) a timetable for the demerger of Smorgon Distribution;
 - (b) descriptions of the property, buildings, equipment, stock and other assets owned or used by Smorgon Distribution in the ordinary course of business;
 - (c) descriptions of Smorgon Distribution's operations; and
 - (d) a list of the Contracts relevant to Smorgon Distribution.

- 3.3 OneSteel must notify to the Commission every 30 days from the Implementation Date of the steps it has taken to comply with clause 3.1 of this Undertaking in accordance with the timetable provided in accordance with clause 3.2.
- 3.4 Within five Business Days of the Implementation Date, OneSteel must:
- (a) notify the Commission in writing of the Implementation Date; and
 - (b) provide the Commission with copies of the relevant Court orders in respect of the scheme of arrangement which effects the merger of OneSteel and Smorgon.
- 3.5 If during the Divestiture Period the directors of OneSteel determine that it is in the best interests of OneSteel shareholders to divest Smorgon Distribution by way of a sale of business or initial public offering instead of demerger, OneSteel must immediately notify the Commission in writing of this decision, and the terms of these undertakings will then apply to the proposed sale or offering, subject to the following additional provisions:
- (a) any sale of Smorgon Distribution must be to a purchaser approved by the Commission; and
 - (b) the Divestiture Period will be extended by **[confidential]**.
- 3.6 OneSteel may request that the Commission agree to extend the Divestiture Period (as defined in clause 10 or as extended pursuant to clause 3.5) by **[confidential]** in order to enable OneSteel to take all appropriate steps to implement the demerger (or trade sale or initial public offering as the case may be) of Smorgon Distribution. The Commission will not unreasonably refuse to agree to the requested extension of time.
- 3.7 OneSteel must notify the Commission in writing of the date on which it ceased to have ownership or control of Smorgon Distribution within two Business Days of the Divestiture Date.

4. Hold separate

- 4.1 OneSteel undertakes that from the commencement of this Undertaking to the Divestiture Date it will not:
- (a) induce or attempt to induce customers of Smorgon Distribution to switch to OneSteel other than in the ordinary course of business by means of offering market competitive terms to customers; or
 - (b) employ or offer to employ any executive or senior manager of Smorgon Distribution, or do anything which would have the likely effect of discouraging executives or senior managers of Smorgon Distribution from continuing employment with Smorgon Distribution following the Divestiture Date.
- 4.2 OneSteel undertakes that from the Implementation Date to the Divestiture Date it will:
- (a) take all necessary steps to maintain Smorgon Distribution as separate, ongoing and independently viable business;

- (b) take all necessary steps to ensure that the management and operations of Smorgon Distribution are conducted independently and separately from the management and operations of OneSteel;
 - (c) subject to clause 4.5 below, have in place restrictions on access by OneSteel to market sensitive information held by Smorgon Distribution including information relating to costs, customers, pricing, production, supply arrangements and sales except in relation to sales and supply by OneSteel to Smorgon and by Smorgon to OneSteel in the normal course of business; and
 - (d) maintain access by Smorgon Distribution to sufficient working capital and credit sources.
- 4.3 OneSteel undertakes that from the Implementation Date to the Divestiture Date it will not:
 - (a) sell or transfer any of the assets owned by Smorgon Distribution or used in Smorgon Distribution's business, or make any material change to these assets, except to the extent necessary to ensure the divestiture of Smorgon Distribution or with the prior written approval of the Commission; or
 - (b) take any action in respect of Smorgon Distribution which is outside the ordinary course of business, except to the extent necessary to ensure the divestiture of Smorgon Distribution.
- 4.4 OneSteel undertakes that from the Implementation Date until the Undertakings cease to have effect, it will take all reasonable steps available to it to ensure that none of the board of directors of Smorgon Distribution is a director, officer or employee of OneSteel or any of its related bodies corporate.
- 4.5 For the avoidance of doubt, prior to the Divestiture Date, OneSteel is entitled to receive and use:
 - (a) all publicly available information and information already in OneSteel's possession as at the Implementation Date;
 - (b) all information necessary to enable OneSteel to comply with legal and financial reporting obligations in Australia (including accounting, tax and continuous and periodical disclosure obligations);
 - (c) such aggregate commercial and financial information compiled by or in relation to Smorgon Distribution in respect of the Smorgon Distribution business as is necessary or desirable to facilitate the demerger of Smorgon Distribution;
 - (d) such aggregate commercial and financial information compiled by or in relation to Smorgon Distribution in respect of the Smorgon Distribution business to enable the directors of OneSteel to fulfil their duties as directors, including signing off on any documents required to effect the divestiture of Smorgon Distribution;
 - (e) information in an aggregate form which is necessary to enable OneSteel to allocate the costs of shared services provided to Smorgon Distribution.

For the avoidance of doubt, OneSteel is not entitled to request or receive specific customer contract, pricing data or any other information relating to Smorgon Distribution which is commercially confidential and is not in aggregate form.

5. Anti-dumping applications

- 5.1 For three years from the Implementation Date, OneSteel and its related bodies corporate must not make an application, nor participate with any other person in making an application, nor procure or encourage any other person to make an application under Part XVB, Division 2 of the Customs Act 1901 in relation to the importation of merchant bar, reinforcing rod and bar, bar for grinding media, wire, structural pipe or RHS products into Australia by any person, unless:
- (a) OneSteel has obtained from a reputable expert in the field who is approved by the Commission (the **Adviser**) an opinion to the effect that in the Adviser's view an application proposed to be made by OneSteel (or a group of persons including OneSteel) is bona fide and is not frivolous or vexatious and, based upon the information made available to the Adviser by OneSteel, in the Adviser's view there are reasonable grounds for the publication of a dumping duty notice or a countervailing duty notice in respect of the goods which are the subject of the application, and has provided this opinion on a confidential basis to the Commission at least one month before any application is made;
 - (b) following the provision to the Commission of an opinion in accordance with paragraph 5.1(a), OneSteel has consulted in good faith and on a confidential basis with the Commission in relation to the proposed application and procured that the Adviser has consulted with the Commission and taken into account any views put forward by the Commission in relation to the proposed application; and
 - (c) following the consultation required by paragraph 5.1(b), the Adviser has provided to the Commission on a confidential basis a certificate to the effect that, based upon the information and views made available to the Adviser by OneSteel and the Commission, in the Adviser's view there are reasonable grounds for the publication of a dumping duty notice or a countervailing duty notice in respect of the goods which are the subject of the proposed application.
- 5.2 For the avoidance of doubt, clause 5.1 does not require OneSteel to take any action to prevent an application being under Part XVB, Division 2 of the Customs Act 1901 by other unrelated corporations or by steel industry representatives.
- 5.3 OneSteel will pay the fees of the Adviser incurred in complying with clause 5.1.

6. Compliance with these Undertakings

- 6.1 OneSteel acknowledges that these Undertakings are court-enforceable in accordance with section 87B of the Act.
- 6.2 OneSteel will not be liable for any failure to perform an obligation under these Undertakings if the failure is due to a Force Majeure.

- 6.3 If OneSteel is unable to comply with its obligations as set out in these Undertakings due to a Force Majeure or changed circumstances beyond its control, or if changed circumstances otherwise make modification of these Undertakings desirable, then OneSteel and the Commission must review these Undertakings and negotiate in good faith in relation to the amendment or revocation of these Undertakings, having regard to the need to maintain competition in the markets in Australia in which OneSteel operates.
- 6.4 OneSteel will promptly provide the Commission with any information which the Commission reasonably requests in relation to compliance with these Undertakings.
- 6.5 OneSteel will appoint an independent auditor (the **Auditor**) within one month of the Divestiture Date to prepare a report on OneSteel's compliance with clause 3.1 of this Undertaking. OneSteel must notify the Commission within five Business Days of the appointment of the Auditor and must provide the Auditor's report to the Commission promptly after it is received by OneSteel. The Auditor must be a qualified and experienced professional who is not a present or past director, officer or employee of OneSteel, has not acted for OneSteel in any capacity in the past three years and is not retained by OneSteel in any other capacity, including any consultancy and has no significant shareholding or other interests in OneSteel.

7. Confidentiality

- 7.1 OneSteel acknowledges that the Commission will publish the public version of these Undertakings on its Section 87B Undertakings Register and that the Commission may publicly refer to these Undertakings.
- 7.2 The Commission acknowledges that the periods specified in clause 3.5(b), clause 3.6 and the definition of **Divestiture Period** in clause 10 are confidential and are not to be publicly disclosed.

8. Acknowledgment

- 8.1 These Undertakings do not prevent the Commission from taking enforcement action at any time during or after the duration of these Undertakings in respect of any breach by OneSteel of these Undertakings.
- 8.2 Nothing in these Undertakings is intended to restrict the Commission's right to take action under the Act for penalties, divestiture or any other remedy if the divestiture of Smorgon Distribution is not implemented in accordance with these Undertakings.

9. Costs

All costs incurred by OneSteel in either providing information to the Commission or in responding to Commission enquiries as required by these Undertakings are to be paid by OneSteel.

10. Definitions

The following definitions apply:

Business Day means a day on which trading banks are open for business in Sydney, Australia, but does not include any Saturday, Sunday or public holiday;

Divestiture Date means the date on which divestiture of Smorgon Distribution is completed;

Divestiture Period means [confidential] from the Implementation Date, unless the period is extended pursuant to clause 3.6;

Force Majeure means any event or cause outside the reasonable control of the affected party (including strikes or labour disputes, a governmental restraint, directive or requirement) and which could not have been avoided or overcome by that party by the exercise of reasonable care or due diligence.

Implementation Date means the date on which shares in Smorgon are transferred to OneSteel Limited pursuant to the scheme of arrangement between OneSteel and Smorgon in relation to their merger;

OneSteel means OneSteel Limited (ACN 004 410 833);

Retained Businesses means the pipe and tube business, the LiteSteel Beam business, the reinforcing businesses currently operated by Smorgon Steel Distribution Pty Ltd and the Smorgon Steel Coil Coaters business (formerly known as Australian Colour Coaters);

Smorgon means Smorgon Steel Group Limited (ACN 082 181 726);

Smorgon Distribution means the steel distribution businesses conducted by the Smorgon Distribution Companies, excluding the Retained Businesses;

Smorgon Distribution Companies means Smorgon Steel Distribution Pty Ltd, ANI Corporation Ltd and Metalcorp Steel Pty Ltd;

the **Act** means the *Trade Practices Act 1974* (Cth);

the **Contracts** means all contracts for the provision of goods and services to Smorgon Distribution which are essential for the continued operation of the business such as the lease of premises or equipment, but excluding contracts for the provision of goods or services across the Smorgon group of companies, and excluding those for the provision of goods or services to the Retained Business.

11. Interpretation

The following rules of interpretation apply:

- (a) the singular includes the plural, and vice versa;
- (b) referring to anything after the words include, includes or including does not limit what else might be included; and
- (c) a reference to "these Undertakings" is a reference to all the provisions of this document.

12. Notices

- 12.1 Any notice or other communication to the Commission pursuant to these Undertakings must be sent to:

General Manager – Mergers and Assets Sales Branch
Australian Competition and Consumer Commission
470 Northbourne Avenue
DICKSON ACT 2602
Facsimile (02) 6243 1199

or to any other address which the Commission subsequently notifies to OneSteel.

- 12.2 Any notice or other communication to OneSteel pursuant to these Undertakings must be sent to:

Company Secretary
OneSteel Limited
259 George Street

SYDNEY NSW 2000

or to any other address which OneSteel subsequently notifies to the Commission.

Public version

**Signed for OneSteel Limited
(ACN 004 410 833) by:**

Director Signature

Director/Secretary Signature

Print Name

Print Name

Date:

This Undertaking offered by OneSteel Limited (ACN 004 410 833) is accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Trade Practices Act 1974*

Graeme Julian Samuel

Chairman

Date:

**Undertaking to the
Australian Competition and
Consumer Commission**

**Given under section 87B by
Smorgon Steel Group Limited**

1. Background

- 1.1 OneSteel and Smorgon each operate as steel manufacturers and distributors in Australia. The directors of OneSteel and Smorgon have agreed to propose a scheme of arrangement which, if approved, will result in OneSteel acquiring all of the shares in Smorgon.
- 1.2 OneSteel has informed the Commission that it intends to divest Smorgon Distribution by way of demerger and Smorgon has offered to the Commission the section 87B Undertakings set out in this document in order to make provision for the divestment of Smorgon Distribution.

2. Commencement and Duration of Undertakings

- 2.1 This Undertaking comes into effect when:
- (a) the Undertaking is executed by Smorgon; and
 - (b) the Commission accepts the Undertaking so executed by Smorgon.
- 2.2 This Undertaking will cease to have effect on the Implementation Date or on the date of any announcement to the Australian Stock Exchange by OneSteel that it no longer intends to proceed with the scheme of arrangement to acquire all of the shares in Smorgon.

3. Hold separate

- 3.1 Smorgon undertakes that from the commencement of this Undertaking to the Implementation Date it will and it will procure that, in respect of that part of Smorgon Distribution operated by each of them, each of the Smorgon Distribution Companies will:
- (a) take all necessary steps to maintain Smorgon Distribution as an ongoing and viable business offering substantially the same range and quality of goods and services to customers that it was providing immediately prior to the commencement of this Undertaking;
 - (b) conduct the management and operations of Smorgon Distribution independently and separately from the management and operations of OneSteel;
 - (c) subject to clause 3.2 below, have in place restrictions on access by OneSteel to market sensitive information held by or in relation to Smorgon Distribution including information relating to costs, customers, pricing, production, supply arrangements and sales, except in relation to sales and supply by OneSteel to Smorgon and by Smorgon to OneSteel in the normal course of business;
 - (d) maintain access by Smorgon Distribution to sufficient working capital and credit sources, technical assistance and support services; and

-
- (e) not take any action in respect of Smorgon Distribution which is outside the ordinary course of business and which, acting reasonably, it considers is likely to be detrimental to the ongoing viability of Smorgon Distribution.

3.2 For the avoidance of doubt, OneSteel is entitled to receive and use:

- (a) all publicly available information and information already in OneSteel's possession as at the Implementation Date;
- (b) all information necessary to enable OneSteel to comply with legal and financial reporting obligations in Australia (including accounting, tax and continuous and periodical disclosure obligations);
- (c) such aggregate commercial and financial information compiled by or in relation to Smorgon Distribution in respect of the Smorgon Distribution business as is necessary or desirable to facilitate the demerger of Smorgon Distribution;
- (d) such aggregate commercial and financial information compiled by or in relation to Smorgon Distribution in respect of the Smorgon Distribution business to enable the directors of OneSteel to fulfil their duties as directors, including signing off on any documents required to effect the divestiture of Smorgon Distribution;
- (e) information in an aggregate form which is necessary to enable OneSteel to allocate the costs of shared services provided to Smorgon Distribution.

For the avoidance of doubt, OneSteel is not entitled to request or receive specific customer contract, pricing data or any other information relating to Smorgon Distribution which is commercially confidential and is not in aggregate form.

4. Compliance with these Undertakings

- 4.1 Smorgon acknowledges that these Undertakings are court-enforceable in accordance with section 87B of the Act.
- 4.2 Smorgon will not be liable for any failure to perform an obligation under these Undertakings if the failure is due to a Force Majeure.
- 4.3 If Smorgon is unable to comply with its obligations as set out in these Undertakings due to a Force Majeure or changed circumstances beyond its control, or if changed circumstances otherwise make modification of these Undertakings desirable, then Smorgon and the Commission must review these Undertakings and negotiate in good faith in relation to the amendment or revocation of these Undertakings.
- 4.4 Smorgon will promptly provide the Commission with any information which the Commission reasonably requests in relation to compliance with these Undertakings.

5. Confidentiality

Smorgon acknowledges that the Commission will publish the public version of these Undertakings on its Section 87B Undertakings Register and that the Commission may publicly refer to these Undertakings.

6. Acknowledgment

These Undertakings do not prevent the Commission from taking enforcement action at any time during or after the duration of these Undertakings in respect of any breach by Smorgon of these Undertakings.

7. Costs

All costs incurred by Smorgon in either providing information to the Commission or in responding to Commission enquiries as required by these Undertakings are to be paid by Smorgon.

8. Definitions

The following definitions apply:

Business Day means a day on which trading banks are open for business in Sydney and Melbourne, Australia, but does not include any Saturday, Sunday or public holiday;

Divestiture Date means the date on which divestiture of Smorgon Distribution is completed;

Force Majeure means any event or cause outside the reasonable control of the affected party (including strikes or labour disputes, a governmental restraint, directive or requirement) and which could not have been avoided or overcome by that party by the exercise of reasonable care or due diligence;

Implementation Date means the date on which shares in Smorgon are transferred to Onesteel Limited pursuant to the scheme of arrangement between OneSteel and Smorgon in relation to their merger;

OneSteel means OneSteel Limited (ACN 004 410 833);

Retained Businesses means the pipe and tube business, the LiteSteel Beam business, the reinforcing businesses currently operated by Smorgon Steel Distribution Pty Ltd and the Smorgon Steel Coil Coaters business (formerly known as Australian Colour Coaters);

Smorgon means Smorgon Steel Group Limited (ACN 082 181 726);

Smorgon Distribution means the steel distribution businesses conducted by the Smorgon Distribution Companies, excluding the Retained Businesses;

Smorgon Distribution Companies means Smorgon Steel Distribution Pty Ltd, ANI Corporation Ltd and Metalcorp Steel Pty Ltd;

the **Act** means the *Trade Practices Act 1974* (Cth);

9. Interpretation

The following rules of interpretation apply:

- (a) the singular includes the plural, and vice versa;
- (b) referring to anything after the words include, includes or including does not limit what else might be included; and
- (c) a reference to "these Undertakings" is a reference to all the provisions of this document.

10. Notices

- 12.1 Any notice or other communication to the Commission pursuant to these Undertakings must be sent to:

General Manager – Mergers and Assets Sales Branch
Australian Competition and Consumer Commission
470 Northbourne Avenue
DICKSON ACT 2602
Facsimile (02) 6243 1199

or to any other address which the Commission subsequently notifies to OneSteel.

- 12.2 Any notice or other communication to Smorgon pursuant to these Undertakings must be sent to:

General Counsel
Smorgon Limited
650 Lorimer Street

Port Melbourne VIC 3207

or to any other address which Smorgon subsequently notifies to the Commission.

**Signed for Smorgon Steel Group Limited
(ACN 082 181 726) by:**

Director Signature

Director/Secretary Signature

Print Name

Print Name

Date:

This Undertaking offered by Smorgon Steel Group Limited (ACN 082 181 726) is accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Trade Practices Act 1974*

Graeme Julian Samuel

Chairman

Date: